



Abhishek Agrawal

Executive Director, MDRA
(Marketing & Development
Research Associates)

114 |

**The ROI of
MBA colleges
has declined
in 2024 as
average salary
packages have
decreased
while course
fees have
increased**

A MIXED BAG

DESPITE A DECLINE IN PLACEMENT FIGURES AND SOME OTHER UNFAVOURABLE NEWS, THERE IS MUCH TO CELEBRATE REGARDING MANAGEMENT EDUCATION IN INDIA IN 2024



THE 12TH EDITION of the BT-MDRA annual ranking of business schools notably lacks a few top B-schools. The reason was surprising—a pessimistic scenario stemming from poor placements that could impact their credibility. Overall, the year has been topsy-turvy for B-schools. First, some news to cheer about:

- **More aspirants for Indian MBAs:** In 2023, more than 330,000 candidates registered for the Common Admission Test (CAT), a 30% increase from the previous year, and a record. On the contrary, applications for B-school programmes across the world declined 8.3% during the past two years, per the Graduate Management Admission Council, a global association of B-schools. This demonstrates increased confidence in MBAs from India's top B-schools.
- **Higher intake and admissions into top MBA colleges:** Higher admissions into top MBA colleges reflect the optimism about Indian MBAs. The Top 100 B-schools' intake increased 15% for the academic year 2023-24. Some IIMs have also increased their intakes.
- **The value of an MBA degree is on the rise:** The percentage of senior leaders hired annually with an MBA degree has increased 25% globally since 2010, per a recent report by professional networking platform LinkedIn. In fact, the number of entrepreneurs with an MBA degree has increased 45% over the same period.
- **MBAs most employable:** The India Skills Report 2024 says MBA degree-holders are the most employable across states; the employability of MBA students was 71.16%, considerably higher than other disciplines.
- **Other positive developments:**

Better diversity: The gender diversity (ratio) among the Top 100 B-schools has improved to an all-time high of 1.5 last year. Even the ratio of engineering to non-engineering students in the Top 25 B-schools improved to 50:50 from 84:16 a decade ago.

More MDPs: The Top 100 B-schools have reported a 26% increase in the numbers of management development programmes (MDPs) and a 29% increase in revenues, reflecting renewed corporate interest and budgetary allocation for management programmes.

Improved quality of faculty: Qualifications (95% of permanent faculty have a PhD), industry, and teaching experience of faculty at the Top 25 B-schools have improved significantly, per the latest objective data.

Higher revenues: The total course fees (tuition and other fees) have increased 12.5% for the Top 25 B-schools. This, coupled with increased intake resulting in higher revenues, would help improve infrastructure and attract more qualified faculty.

International accreditation: As many as 31 Top B-schools in the country now have AACSB, AMBA, or EQUIS international accreditations (any one or more), reflecting the quality of Indian B-schools.